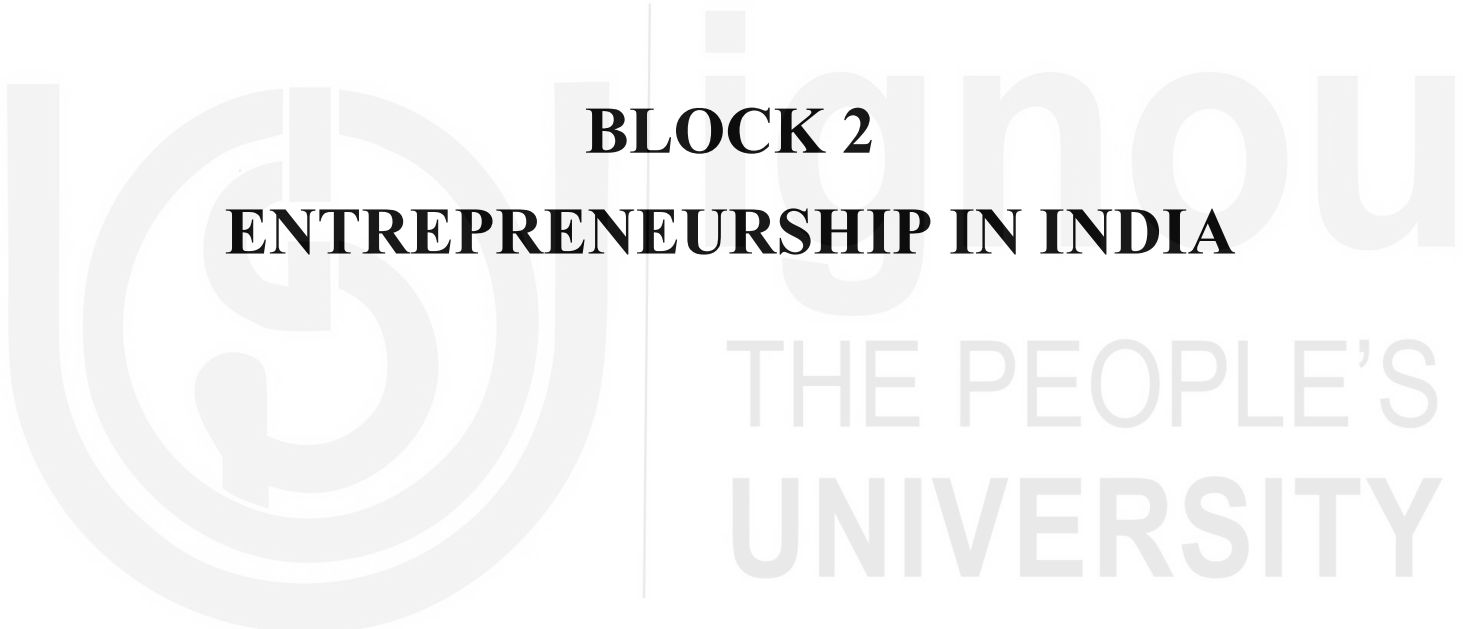


The background of the slide features a large, light gray watermark of the Open University logo, which consists of a stylized 'U' and 'O' forming a circular shape, with the text 'Open University' and 'THE PEOPLE'S UNIVERSITY' integrated into the design.

BLOCK 2

ENTREPRENEURSHIP IN INDIA

THE PEOPLE'S
UNIVERSITY

BLOCK 2 ENTREPRENEURSHIP IN INDIA

This block covers institutional set up prevailing in India regarding entrepreneurship {specifically MSMEs (Micro, Small, and Medium Enterprises)}. It focuses on the evolution of industrial policies in India and discusses different associations available to support MSMEs along with the special features and the role of MSMEs in the economic development of India.

Unit 4 elaborates on various government policies of India, which promotes entrepreneurship in India. It explains the institutional interface for business, which refers to a part of economic environment of industry and business consisting of authorities and institutions whose decisions and activities influence activities of various business units. Then, it focuses on the evolution of various industrial policies and schemes in relation to small-scale enterprises in our country. Further, different associations, societies and NGOs such as Associated Chambers of Commerce and Industry of India (ASSOCHAM-India), P.H.D. Chamber of Commerce and Industry, Federation of Indian Chambers of Commerce and Industry (FICCI), All India MSMEs Association (AIMA) etc. have been discussed to understand their role.

Unit 5 focuses on the role and need for micro, small and medium enterprises in the economic development of India. It explains the meaning of MSMEs ((Micro, Small, and Medium Enterprises) in detail, then, it highlights the relationship between small and large enterprises. Further, it discusses special feature of MSMEs such as contribution to GDP, poverty alleviation, tapping of savings, employment opportunities etc. Then, it explains the role of entrepreneurship in MSMEs and economic development and further discusses the problems faced by MSMEs and how these needs can be supported. Lastly, the role of government in MSMEs development, where different schemes and policies initiated has been discussed.

UNIT 4 ENTREPRENEURSHIP AND GOVERNMENT POLICIES

Objectives

After going through this unit, you should be able to:

- discuss the role of government policy towards developing and promoting MSME sector;
- explain the role of the various Central Government, State Government bodies and other autonomous bodies in assisting the implementation of MSME sector; and
- discuss various rules, regulations and procedures relevant for MSME sector.

Structure

- 4.1 Introduction
- 4.2 Institutional Interface - A Concept
- 4.3 Industrial Policy Resolutions (IPRs) and Other Developments
- 4.4 Administrative and Institutional Set Up
- 4.5 Industrial Policy in Operation
- 4.6 Associations, Societies and NGO's Related to MSMEs
- 4.7 Summary
- 4.8 Keywords
- 4.9 Self-Assessment Questions
- 4.10 References/Further Readings

4.1 INTRODUCTION

India is gradually on its mission to build a robust entrepreneurship ecosystem to develop MSMEs. They not only play a significant role in providing large scale employment opportunities but require less capital than large industries and also help in growth of non-farm activities as well as industrialization of rural & backward areas. It, ultimately, reduces regional imbalances and enhances more equitable distribution of national income. MSME sector contributes in the socio-economic development of the country. Realizing it, India opted for a policy of development of the micro, small and medium sector along with a heavy industrial sector. Over the past five decades government policies have been designed to protect the interests of this sector. To facilitate the rapid development of this sector, the government, in pursuance of its policies, has initiated various support measures from time to time which included policy of reservation, revision of investment ceilings, modernization, technological upgradation, marketing assistance, fiscal incentives etc.

This unit discusses the policy framework for micro, small and medium enterprises and also describes the institutional infrastructure that has been developed to facilitate this sector.

4.2 INSTITUTIONAL INTERFACE–A CONCEPT

The term institutional interface refers to a part of economic environment of industry and business consisting of authorities and institutions whose decisions and activities influence activities of various business units. The institutions could be government owned - statutory - semi-autonomous or non-profit organization and associations. The authorities are generally governmental and, in a sense, wield governmental powers granted to them in specific fields or activities. The institutional interface that we describe here is related to micro, small and medium sector of industry and business in India.

A business or industrial unit - enterprise in short - interacts with the institutional interface essentially at three stages in its development viz. (i) inception i.e., establishment of an enterprise (ii) day-to-day operations which would mean day- to-day management and (iii) expansion and/or diversification. In this unit our emphasis will be on the institutional interface at the inception stage. To formulate the preposition, the question we are trying to answer is: how do policies and activities of the institutions provide assistance, resources and technical advice to an entrepreneur whose aim is to set up a micro, small and medium enterprise? The term micro, small and medium enterprise covers a range consisting of micro, small and medium units, small businesses and service establishment. They are referred to as MSMEs (Micro, Small and Medium Enterprises) in this unit.

4.3 INDUSTRIAL POLICY RESOLUTIONS (IPRS) AND OTHER DEVELOPMENTS

Major Environment

After attaining independence in 1947, India adopted economic planning as a method to achieve economic development. The pattern of planning that came to be accepted was of a mixed economy, meaning thereby that industrial units in the public and private sector would both be operating to meet the goals of economic development. The mixed nature of economy meant that on crucial areas the policy of the government was decisive and changes therein were of great relevance to industrial units. In the field of industry, government's objectives and intentions were announced through six successive Industrial Policy Resolutions (IPRs)/Statements. These resolutions were announced in 1948, 1956, 1977, 1980, 1990 and 1991. In 1997, there was a major upward revision in the investment limit in Plant and Machinery for the purpose of defining SSI and Tiny Sector units. The limit was brought up to 3 crores rupees and it was brought down to ₹1 crore in December 1999. In August 2000 comprehensive Policy Package for SSIs and Tiny Sector was announced, which has had a remarkable impact on the development of this sector. Keeping in view the provisions of this Policy Package, with effect from October 2001, the investment ceiling in Plant & Machinery in respect of

41 items covering two broad groups of Hosiery & Hand Tools was enhanced to 5 crores.

It may be noted that a separate Ministry of Small-Scale Industries & Agro & Rural Industries (SSI & ARI), came into being in October 1999. However, the Ministry was bifurcated into two separate ministries namely, Ministry of Small-Scale Industries and Ministry of Agro and Rural Industries on 1st September, 2001. The range of functions of the ministry include the setting up of a network of institutions to render services of a varied nature like, techno-economic and managerial aspects, training, testing facilities, marketing assistance, etc. The implementation of policies and various programmes/schemes for providing infrastructure and support services to small enterprises is undertaken through Ministry's Attached Office, namely Small Industry Development Organization (SIDO), and National Small Industries Corporation (NSIC) Ltd. Further the various activities are also supported by a host of other Central/State Departments, Agencies and Autonomous Institutions all over the country. The 'Micro, Small and Medium Enterprises Development Act, 2006' was enacted on 2nd October 2006, which fulfilled long cherished demand of this sector. It aims to enhance and promote the competitiveness of MSMEs. Apart from giving legal strength to the definitions of micro, small and medium enterprises, this act also contains penal provisions relating to the delayed payment to these enterprises. After 14 years, since the MSME Development Act came into existence in 2006, a revision in MSME definition was announced in the Atmanirbhar Bharat package on 13th May 2020. The distinction between manufacturing and service MSMEs has been removed; earlier the limits of investment and turnover for these two were different.

IPR 1948

The industrial sector in 1948 was not different from the one existing in pre-1947 days and hence the SSI sector meant mainly rural industrial units, small jobs cum repair shops, units making agricultural implements, a few urban small units and handloom units weaving cloth. The greatest economic significance of these units to the Indian economy was their employment potential. It was this potential which called for a protection through policy and the main thrust for IPR 1948 as far as small-scale sector was concerned, was protection.

IPR 1956

The second IPR was announced against the background of a bolder second five- year plan, with a long-term strategy for industrial and economic development. As regards the SSI sector, the resolution envisaged a dual role viz.

(i) Manufacture of consumer goods such as cloth and. (ii) manufacture of components for the newly established industry as part of the program for long term industrial development.

Thus, to the earlier emphasis of protection was added development. Industrial policy for SSI aimed at "Protection plus Development". IPR 1956 in a manner initiated the modern SSI in India.

IPR 1977

The next IPR was announced after a lapse of two decades. During the preceding decades, two major problems had been witnessed. First was the lopsided industrial development — large, medium and small-scale industries had become more of an urban phenomenon and the other was large scale unemployment - the issue of urban and rural, educated and uneducated unemployed had started becoming difficult.

This situation led to a renewed emphasis on promotion of typical employment generating small-scale industry, located in rural areas and small towns. As a formula, it was proposed that for small scale units ideally the scale of output should be small, location semi urban /rural and technology, labour intensive.

This was the IPR, which assigned a positive role to SSI in terms of wage employment of worker and self-employment of the entrepreneur, and which therefore, offered a wider scope to policies and programmes for SSI development. To the earlier thrust of protection (IPR 1948), development (IPR 1956) this resolution added promotion. The SSI sector was thus, to be protected, developed and promoted.

IPR 1980

This IPR re-emphasized the spirit of IPR 1956 with its strategy of large-scale, high technology and heavy investment based key or basic industry. Nevertheless, the SSI sector remained as perhaps the best sector for generating wage and self-employment-based opportunities in India.

IPR 1990

This IPR was announced during June 1990, its basic aim was to introduce measures of economic liberalization, simplified rules and procedures with a view to enhancing the technological base of industry and accomplishing higher levels of output. It gave a special emphasis on the SSI/SSE sector where employment opportunities were likely to be high. In order to enable the SSI units to update their technology, the investment limit of SSI was raised to `60 lakhs.

Industrial Policy Statement of 1991

The Industrial Policy measures announced in 1991 contained a special thrust on the promotion and strengthening of Small, Tiny and Village Industries. The investment limit for tiny industries was raised to ₹25 lakhs, in addition, locational conditions were withdrawn. Equity participation by other industrial undertakings was permitted up to a limit of 24% of the shareholdings in SSIs. This was done with a view to boost the ancillarisation and strengthening of the capital base of the SSI units. Steps were taken to include services in the SSI sector. A new scheme of Integrated Infrastructural Development for SSIs was brought into being with the participation of State Governments and Financial Institutions. A pro-active role for Non-Governmental Organizations and Industry/Trade Associations was also mooted. Besides the above measures, steps were initiated to bring about substantial deregulation and simplification of roles and procedures.

To protect the interests of SSIs and to improve their viability, measures taken by the government, from time to time, include reservations of items to be manufactured exclusively by this sector, revision of investment ceilings in the definition, modernization, technology upgradation and market assistance. However, there was no regulation or restriction on marketing the reserved items by large industries.

Micro, Small and Medium Enterprises (MSMEs)

As already mentioned, with a view to provide more focused attention on the development of SSI, the Government of India created a new Ministry of Small-Scale Industries & Agro and Rural Industries in October 1999. Immediately after the formation of the Ministry, a policy package for small scale and village industries was announced to give a face lift to this sector in the new millennium.

Under globalization and advent of information & communication technology, there was demand from different quarters to club micro, small and medium enterprises for better performance. Consequently, the government passed the **MSMED (Micro, Small and Medium Enterprises) Development Act in 2006**, then, on 9 May 2007, subsequent to the amendment of the Government of India (Allocation of Business) Rules, 1961, the Ministry of Small-Scale Industries and the Ministry of Agro and Rural Industries were merged to form the **Ministry of Micro, Small and Medium Enterprises**. Thus, the SSIs are included under the Ministry of MSME. In 2014, a new Ministry of Skill Development and Entrepreneurship was set up to achieve the vision of 'Skilled India.'

In accordance with the Micro, Small, and Medium Enterprises Development (MSMED) Act in 2006, the enterprises were classified into two divisions.

- Manufacturing enterprises – engaged in the manufacturing or production of goods in any industry
- Service enterprises – engaged in providing or rendering services

After 14 years since the MSME Development Act came into existence in 2006, a revision in MSME definition was announced in the **Atmanirbhar Bharat Package** on 13th May 2020. The distinction between manufacturing and service MSMEs has been removed; earlier the limits of investment and turnover for these two were different (old limits are mentioned in Unit 5 Table No. 5.1).

Table 4.1: The upper limit as per the new definition is as follows:

Type of Enterprise	Investment (in Rs.)	Turnover (in Rs.)
Micro Enterprises	< 1 crore	< 5 crore
Small Enterprises	< 10 crore	< 50 crore
Medium Enterprises	< 50 crore	< 250 crore

Source: Adopted from Economic Survey, 2021-22, p. 37.

As per the MSMEs (2021-22) Annual Report, Ministry of MSME runs numerous schemes targeted at: -

- ❖ providing credit and financial assistances,
- ❖ skill development training,
- ❖ infrastructure development,
- ❖ marketing assistance,
- ❖ technological and quality upgradation and,
- ❖ Other Services for the MSMEs across the country.

1. Prime Minister's Employment Generation Programme (PMEGP)

- The Prime Minister's Employment Generation Programme (PMEGP) was launched during the year 2008-09 (September, 2008).
- The scheme aims to generate employment opportunities in rural as well as urban areas of the country through setting up of new self-employment ventures/projects/micro enterprises.
- Besides, the scheme also seeks to provide continuous and sustainable employment to all segments of traditional and prospective artisans and rural / urban unemployed youth in the country, so as to help reduce migration of rural youth to urban areas.
- The scheme also focuses to increase the wage-earning capacity of artisans and contribute to increase in the growth rate of rural and urban employment.
- The maximum cost of the project/unit admissible under manufacturing sector is ₹25 lakh and under business/service sector is ₹10 Lakh.

2. Credit Guarantee Trust Fund for MSEs (CGTMSE) - Provision of Collateral Free Credit for MSMEs

- Guarantees are provided for extending collateral free lending to Micro and Small Enterprises through banks and financial institutions (including NBFCs).
- The Scheme covers collateral free credit facility (term loan and/or working capital) extended by eligible lending institutions to new and existing micro and small enterprises up to ₹200 lakh per borrowing unit.
- The guarantee cover provided under this scheme varies from 50 percent to 85 percent depending upon the quantum of loan and type of beneficiary.

3. A Scheme for Promotion of Innovation, Rural Industries & Entrepreneurship (ASPIRE)

The scheme components are to:

- Create a database of technologies available with various Government/private agencies and setup a Network of Technology Centers for sharing of best practices and experiences;

- Develop the required skilled Human Resources necessary for mentoring and handholding the incubates;
- Set up Livelihood Business Incubators (LBI) to provide skill training and incubation support to incubatees.
- Setting up Technology Business Incubators (TBI) by incubation centers operated currently under different Ministries/Departments of Govt. of India or institutions/eligible private institutions.
- Establish a framework for Start-up Promotion through creating a Fund of Funds with Small Industries Development Bank of India (SIDBI), thereby providing funding support to early-stage enterprises and startups in Agro-rural sector to convert these into commercial enterprises.

4. Entrepreneurship and Skill Development Programmes (ESDP)

- Entrepreneurship development is the process of improving the skills and knowledge of entrepreneurs, enhancing the capacity to develop, manage and organize a business venture while keeping in mind the risks associated with it.
- The objective of the programme is to motivate young persons (Men and Women) representing different sections of the society.
- The ultimate objective is to promote new enterprises, build capacity of existing MSMEs and inculcate entrepreneurial culture in the country.

5. Scheme of Fund for Regeneration of Traditional Industries (SFURTI)

The objectives of the scheme are:

- To organize traditional industries and artisans into clusters to make them competitive and provide support for their long-term sustainability, sustained employment, to enhance marketability of products of such clusters.
- To equip traditional artisans of the associated clusters with the improved skills, to make provision for common facilities and improved tools and equipment for artisans.
- To strengthen the cluster governance systems with the active participation of the stakeholders, and to build up innovative products, improved technologies, advanced processes, market intelligence and new models of public-private partnerships.

6. Scheme for providing financial assistance to Khadi institutions under MMDA (Modified Market Development Assistance)

- Government introduced w.e.f. 01.04.2010, a flexible, growth stimulating and artisan-oriented Market Development Assistance (MDA) Scheme, in place of the system of Rebate.
- The financial assistance being extended currently under MMDA @ 30% to the artisans like spinners and weavers engaged in production

of khadi, and @ 10% to the other workers engaged in khadi production will continue to be paid.

7. MSME Champions Scheme (Earlier CLCS-TUS)

- Ministry of MSME has been implementing Credit Linked Capital Subsidy and Technology Upgradation Scheme (CLCS-TUS) for promoting competitiveness amongst MSMEs by the way of wastage reduction through Lean Manufacturing, support for Design improvement, building awareness on Intellectual Property Rights, Zero Defect Zero Effect (ZED) Scheme, digitally empowerment of MSME through Digital MSME and to promote & support untapped creativity of individual and to promote adoption of latest technologies in manufacturing as well as knowledge based innovation MSMEs through Incubation across India.
- The end objective is to pick up clusters and enterprises and modernize their processes, reduce wastages, sharpen business competitiveness and facilitate their National and Global reach and excellence.
- There are 3 components under the new MSME Champions scheme, the details of which are as below:
 - MSME-Sustainable (ZED)
 - MSME-Competitive (Lean)
 - MSME-Innovative (for Incubation, IPR, Design and Digital MSME)

8. Ministry of MSME UNIDO, GEF-5 Project on 'Promoting Market Transformation for Energy Efficiency in Micro, Small & Medium Enterprises'

- The UNIDO, GEF-5 Project 'Promoting Market Transformation for Energy Efficiency in Micro, Small & Medium Enterprises' intends to develop and promote market environment for MSME by introducing energy efficient technologies and enhancing the use of identified technologies in the clusters.
- The programme focuses on 10 clusters from seven sectors (Pulp & Paper, Textile, Food Processing, Pharma, Chemical & Dye, Foundry & Forging, Iron & Steel).

Announcements for MSME sector in Union Budget, 2022-23

• Extension of ECLGS

The Emergency Credit Line Guarantee Scheme (ECLGS) was launched amid the Covid-19 pandemic to help MSMEs cope with pandemic losses and was extended up to March 31, 2022. Considering the following aspects, the ECLGS will be extended up to March 2023, and its guarantee cover will be expanded by ₹50,000 crore to a total surface of ₹5 lakh crore. ECLGs have provided the much-needed additional support to more than 130 lakh MSMEs helping them mitigate the worst effects of a pandemic. The hospitality and related services, especially for MSMEs,

are yet to regain their pre-pandemic level.

- **CGTMSE for MSEs**

Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE), which was jointly set up by the MSME Ministry and SIDBI in 2000 to catalyze the flow of institutional credit to micro and small enterprises (MSEs). It supports MSMEs, facilitating additional credit of ₹2 lakh crore for MSEs and expanding employment opportunities. There is always a demand for collateral-free loans by MSMEs and Startups. An additional ₹2 lakh crore under CGTMSE will increase the number of entrepreneurs and create more job opportunities.

- **Raising and Accelerating MSME Performance (RAMP) program for MSME**

To help the micro, small and medium enterprises (MSME) sector become more resilient, competitive, and efficient, Finance Ministry announced the Raising and Accelerating MSME Performance (RAMP) program which will be rolled out with an ₹6000 crore outlay spread over five years.

- **Additional allocation for solar PLI scheme**

Additional allocation of ₹19,500 crore for Production Linked Scheme (PLI) for manufacturing of high-efficiency modules with a priority to fully integrate manufacturing units from polysilicon to solar PV modules will be made. PLI scheme applied in 14 sectors has received an excellent response and has the potential to create 60 lakh new jobs and additional production of 30 lakh crore during the next five years.

- **Railways to develop new products & logistic services for MSMEs**

Besides introducing a unified logistics interface platform for the logistics sector, railways would develop new products and efficient logistics services for small and medium enterprises.

Activity 1

Visit an entrepreneur who has just set up a unit to find out the type of financial assistance received by him. Determine also the policy resolution under which he got the assistance.

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4.4 ADMINISTRATIVE AND INSTITUTIONAL SET UP

Government policy resolutions and programmes based on the same, need a proper administrative and institutional set up. Right from the time of IPR

1948, this has engaged the mind of the government and all governments have tried to make the administrative set up more effective and easier to interact. The Government has set up a statutory National Board for Micro, Small and Medium Enterprises so as to bring together all the stake holders as the representatives of different sub-sectors of MSMEs, policy-makers, bankers, and trade unions together to move towards cohesive development of the sector and ultimately, to make the sector more competitive and self-reliant.

Securities and Exchange Board of India (SEBI)

In order to facilitate capital raising by small and medium enterprises, it has been decided to permit listing without an Initial Public Offer and trading of specified securities of small and medium enterprises (SMEs) including start-up companies on Institutional Trading Platform (ITP) in SME Exchanges. Consequential amendments have also been made to SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011 and SEBI (Delisting of Equity Shares) Regulations, 2009. A public company seeking listing on ITP should comply with the following requirements:

- i) Five years prior to the date of application for listing, the company, group companies or subsidiaries have not been referred to the Board for Industrial and Financial Reconstruction;
- ii) SEBI, Reserve Bank of India, Insurance Regulatory and Development Authority or Ministry of Corporate Affairs within a period of five years prior to the date of application for listing have not taken any regulatory action against the company, its promoter or director;
- iii) At the time of making listing application, the company has at least one full year's audited financial statements for the immediately preceding financial year
- iv) The company's revenues have not exceeded one hundred crore rupees in any of the previous financial years and has not completed a period of more than 10 years after incorporation;
- v) The paid-up capital of the company has not exceeded twenty-five crores.
- vi) In addition to the above requirements in order to qualify for listing on ITP, the company must receive certain minimum investment from at least any one of the following type of investors as mentioned below:
 - a) The company has fully utilized finance received three years ago from a scheduled bank for its project financing or working capital requirements.
 - b) One or more angel investor who is a member of an association / group of angel investors which fulfils the criteria laid down by the recognized stock exchange, has invested a minimum amount of fifty lakh rupees in the equity shares of the company through the association/group.
 - c) At least one alternative investment fund, venture capital fund or other category of investors/lenders approved by SEBI must have invested in the equity shares of the company a minimum amount of fifty lakh rupees.

- d) A registered merchant banker has invested not less than fifty lakh rupees in equity shares of the company. The money will be locked in for a period of three years from the date of listing.
- e) A qualified institutional buyer has invested not less than fifty lakh rupees in the equity shares of the company. The money will be locked for a period of three years from the date of listing.
- f) Under section 2(72) of the Companies Act, 2013, specialized international multilateral agency or domestic agency or a public financial institution may invest in the equity capital of the company.

Capital Raising

An ITP listed company must comply following if it wants to raise capital:

- i) Before initiating listing on the platform, it should not make any initial public offer.
- ii) Private placement or rights issues are sources through which it can raise issue.
- iii) Such companies which raise funds through private placement are required to obtain in-principal approval of the recognized stock exchange prior to allotment and should also obtain shareholders' approval. They should complete allotment within two months of such approval, and disclosures need to be made in explanatory statement as notice to shareholders.
- iv) The shareholders must be taken into confidence before a company decides to raise funds through private placement. The shareholders may be informed through registered post or speed post or email and the same shall be made available on the website of the company and the stock exchange.

Activity 2

Do you think monetary constraints are the biggest problem before small enterprises. Do you think that SEBI's initiatives will help small enterprises to raise fund? Comment and give justification for your answer.

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4.5 INDUSTRIAL POLICY IN OPERATION

An entrepreneur who wishes to set up a small unit of his/her own may however, like to know how the industrial policy is actually implemented. In other words, how will his unit come under the purview of industrial policy at

different stages. For this we should firstly lay bare the entrepreneurial process and then suggest a tentative framework for establishing linkage between some of the following areas.

Information: An enterprise can be seen from the point of view of an entrepreneur or the institution of the interface. Since, in this unit our focus is mainly on the institutions of the interface, we shall place greater emphasis on their activities. The foremost area is information and in the first place it should enable an individual to make a choice as between different self-employment opportunities. The opportunities for self-employment can be in the areas of manufacturing, trade and services.

Information on self-employment-based opportunities in anyone of the above areas should be available from the following institutions:

- 1) Director of Industry of the State or District Industries Centre.
- 2) State Financial Corporation particularly their Small Business Cell.
- 3) Nationalized Commercial Banks, their Small Business/Enterprise Department.
- 4) State Directorate of Cottage Industries.

In addition to the above some states have published, from time to time, list of Bankable Schemes for MSME. These are indeed very small enterprises or service establishments and are meant essentially for self-employment of the individual. A few such Bankable Schemes include Detergent Soap/Powder, Hair Oil, Washing Soap, Carpentry Shop, Diesel Oil Engine, Service-cum-Repair Shop etc. for rural areas. For urban locations the list would include Xeroxing centre, beautician's shop, TV service centre, furniture-designing centre etc.

The objective in providing such lists is that, very often the people desirous of taking up self-employment as a positive career alternative, lacks basic information on what alternatives are actually available. Taking the length and breadth of the country, its vast rural and backward areas lack of relevant information would seem to be a basic lacuna. One of the activities of the interface institutions therefore, is collecting and disseminating information.

Other Institutions: The major objective of government policy with regard to the small-scale sector - both small scale industry and other small business has been employment. The policy and a variety of measures of central as well as state governments aim at promoting these enterprises. You would have noted the role played by the infrastructure institutions in handing out the information. This may be regarded as the starting point. It would enable an individual to choose from among alternatives.

Markets for the Products

Manufacturing small units face the difficulty of marketing their products mainly because of two reasons. In the first place there are several lines in which products of large and small units have to compete with each other in the market. In such situations the latter always suffer and in order to help

such units, in elected product lines, special purchase programmes have been announced by the government. These programmes extend subsidy to SSI products so that they can compete with some strength. Such lists should be available with the Director of Industry of state, the state small industry corporation and the district industry centres. In some states a list of state - based product is also available.

The recent emphasis of policy is to encourage both small-scale industry and small businesses, which provide self-employment opportunities in the first place. Small businesses have limited requirement of plant, machinery and tools and most of the financial requirements are met by nationalized commercial banks. Most of the banks have announced liberalized loan schemes, entrepreneur schemes, equity fund scheme, and composite loan scheme for artisan-based village and cottage industries.

Activity 3

Visit two small enterprises in your area. Ask from them about how they market their products? What type of problems they face? Suggest how their problems can be solved? How can international link be established for their products?

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Concept of Limited Liability Partnership (LLP)

Limited Liability Partnership (LLP) is another form of business organization which came into existence through LLP Act on March 31, 2009. It is governed by LLP Act, 2008, it is a separate legal entity which continues its existence irrespective of change in partners. LLP permits individual partner to be shielded from joint liability created by another partner's business decision or misconduct. Such an entity provides the flexibility of a partnership and limiting at the same time, the owner's liability with respect to the LLP. It is an alternative to corporate business form that gives the benefits of limited liability of a company and the flexibility of a partnership. One of the benefits is that both professional and non-professional businessmen can set up LLP.

4.6 ASSOCIATIONS, SOCIETIES AND NGOS RELATED TO MSMEs

Globalization has offered both opportunity as well as challenges before the MSMEs. About 40% of India's exports, directly and indirectly are contributed by micro, small and medium enterprises. In fact, some of the industries of this sector like IT enabled services are product of globalization.

Not only that, some other MSMEs are dominant players in India's major export sectors namely Software, Textiles and Garments, Leather products, Sports goods, Gems and jewelry and Handicrafts among others. They also contribute substantially in industrial goods segments in sectors such as electrical, engineering, rubber and plastics. Now, foreign companies and MNCs are also operating in this sector.

MSMEs are gearing up and contributing in terms of the new slogan of 'Make in India'. The MSME sector is competing with the global market and to equip them not only the government but also the associations, societies and NGOs have to contribute positively.

Looking at the significant role played by the MSME sector, the government of India has taken many initiatives to make them more efficient and productive. As we have already discussed that there is an exclusive ministry for this sector. In addition to governmental support, there are organizations, societies and NGOs which also take care of this sector.

The Associated Chambers of Commerce and Industry of India (ASSOCHAM- India)

ASSOCHAM is a not-for-profit organization, which helps Indian business houses to interact with the foreign business houses. ASSOCHAM was established in 1920 and at present it has around 4,50,000 corporate members from all over. It is also referred to as the "Chamber of Chambers", having in its fold more than 400 Industry Chambers and Trade Associations. It has contributed significantly by playing a catalytic role in shaping up the trade, commerce and industrial environment of the country. Its vision is to empower Indian enterprise by inculcating knowledge that will be the catalyst of growth in the barrier less technology driven global market and help them to upscale as well align to emerge as formidable player in the respective business segments.

There is a vast network of around 6.3 crores MSME units which manufactures more than 8000 products and a share of about 30% in nominal GDP. MSMEs are the driving force behind a large number of innovations and many products of this sector has potential to become member of the international production chain. Thus, the sector can play a significant role in attaining inclusive and sustainable growth in the country.

P.H.D. Chamber of Commerce and Industry

PHD Chamber of Commerce and Industry which was established in 1905, is a proactive and dynamic national apex body, working at the grass-root level and with very strong international linkages. The Chamber acts as a catalyst in the promotion of industry, trade and entrepreneurship. PHD Chamber, through its research-based policy, performs its advocacy role which has positive impact on the economic growth and development of the nation. To observe its motto 'In Community's Life & Part of It', it contributes significantly to socio-economic development and capacity building in several fields besides working for the betterment of business organizations. Along with other aspects, it is actively involved in improving the quality of

manpower. PHD Chamber also lives by the chosen motto of ‘Skilling India for Global Competitiveness’ which is a matter of great relevance to the MSME sector.

Federation of India Chambers of Commerce and Industry (FICCI)

FICCI is another organization which is helping the MSME sector in making their global presence. To initiate the process, FICCI started a Grant - Thornton survey of over 100 MSMEs across the country. The survey observed that the sector is looking forward for a greater role by the government and industrial organizations to make their global presence and also removing the glitches such as regulatory compliance and availability of finance. Almost 90 per cent of the respondents said they were looking forward for expansion of their business, while only 39 per cent MSMEs admitted that the government was playing a key role in enhancing their business competitiveness.

The survey results highlighted the vast potential that Indian MSMEs have which will facilitate in integration with the global value chain. Indian industry has been able to invest in right channels like distribution networks, new technologies and product development through research and development which will help in exploiting opportunities offered by the global value chain,

All India MSMEs Association (AIMA)

The Association provides information and assistance for the opportunities provided by the MSME Ministry and National Small Industries Corporation (NSIC) in various sectors with data and relevant inputs on development, growth and progress of MSMEs. It cooperates with other Micro, Small and Medium Association in India and if possible, abroad for betterment of the sector. There are other similar regional and local organizations which are trying to protect interest of MSME sector.

NGOs for MSME sector

NGOs like Saath and Umeed, are imparting training for skill generation among workers and upgradation for self-employment in micro sector. They are many such NGOs who generate funds for running their programme from government, private national & international organizations and business houses.

Some of the Programmes of Skill Development by NGOs/Private Bodies are:

Umeed

It is a programme of Saath for enhancing employability through job related training and placement among youth from vulnerable families across Gujarat with the support of American India Foundation, Ahmedabad Municipal Corporation and Gujarat Urban Development Mission. Till now, many youths have been trained under Umeed and many of them have got placement also.

Udaan

In Rajasthan, Saath, Microsoft Corporation and the Rajasthan Mission on Livelihoods jointly run, 'Udaan'. They have launched a mobile training van in Jodhpur to train youth from rural areas which trains the youth in Car Repairing, Software, etc. Udaan has placed around 3,000 youth in Rajasthan till now. Saath ties up with corporate as well as local business houses for placing trained youth in the formal sector. Based on the needs of the market, Saath delivers trainings to youth in areas like Business Process Outsourcing, Bedside Patient Assistance, Customer Relations and Information Technology etc. Saath serves as an interface between business, youth and society for combating unemployment and underemployment in India.

4.7 SUMMARY

Based on the foregoing description of institutions and their activities, you now have a complete overview of the policy and institutional support environment facing the small entrepreneur, should be in a position to locate itself as surrounded by an environment. This environment consists of policies and authorities, institutions and corporations aiming at providing infrastructural inputs and resources and a host of industry- trade-business based voluntary associations. Their policies, measures and programmes are relevant to an enterprise. A set of acting and interacting forces could be perhaps visualized by each unit with reference to its activities and decision. It should now be possible for us to understand the nature and concept of institutional interface between the enterprise and the institutional setup.

4.8 KEYWORDS

Institutional interface: It refers to authorities & institutions of industries and businesses whose decisions and activities influence activities of different units.

Ancillarisation: It means getting most of the parts/ components manufactured from outside and making assembly.

CAD/CAM (Computer-aided design and computer-aided manufacturing): It refers to computer software that is used to design and manufacture products.

Limited Liability Partnership: It is an alternative corporate business form that gives the benefits of limited liability of a company and flexibility of partnership.

Merchant banker: A banking firm engaged chiefly in investing in new issues of securities and in accepting bills of exchange in foreign trade.

Business Process Outsourcing: It is contracting of a specific business task, such as payroll, to a third-party service provider.

4.9 SELF-ASSESSMENT QUESTIONS

- 1) Discuss some of the schemes launched by government to promote MSME sector in India.

- 2) Describe the administrative set up of the MSME sector.
- 3) What is the role of SIDBI? Discuss.
- 4) How do trade industry associations, in the context of MSMEs, facilitate development?

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UNIT 5 ENTREPRENEURSHIP AND ECONOMIC DEVELOPMENT

Objectives

After going through this unit, you should be able to:

- explain the role and need for micro, small and medium enterprises in the Indian economy;
- define and describe the characteristics of micro, small and medium enterprises;
- discuss the role of micro, small and medium enterprises in the economic development;
- discuss the role of entrepreneurship in micro, small and medium enterprises;
- identify problems and support needs of micro, small and medium enterprises.

Structure

- 5.1 Introduction
- 5.2 Micro, Small and Medium Enterprises (MSMEs) — Concept
- 5.3 Special Features of MSMEs
- 5.4 Regional Balance and Rural Development
- 5.5 Role of Entrepreneurship in MSMEs and Economic Development
- 5.6 A Conceptual Model
- 5.7 Problems and Support Needs of MSMEs
- 5.8 Role of Government in MSMEs Development
- 5.9 Summary
- 5.10 Keywords
- 5.11 Self-Assessment Questions
- 5.12 References/Further Readings

5.1 INTRODUCTION

Entrepreneurship can be defined as a process of setting up a new business or profession, bearing most of the risk, and enjoying most of the rewards. The person or group of people who set up such businesses are called entrepreneurs. It is setting up a business with some innovative and new idea that is directly related to solving some sort of problem in society. The Industrial Revolution was accomplished largely through Small Scale Industries (SSIs) with modest capital, a few score workers at most, owned and managed by a single individual of a family. Really large firms were slow to emerge. As late as 1900, the hundred largest British industrial firms accounted for no more than 10 per cent to 15 per cent of manufacturing value

added, and the same held in the rest of Western Europe and North America. The explosive growth of really large-scale organizations occurred in the next half century; large firms are now the dominant mode. Typically, the hundred largest manufacturing enterprises in developed economies to-day control at least half of total manufacturing assets, with a varying but comparable figure for value added. But their share of employment is smaller, relative to output.

Nonetheless, many small manufacturers continue to exist in these economies, showing a skewed distribution of manufacturing enterprises with the modal size being close to the smallest and a long rightward tail stretching towards the giants. Most of the small firms are service oriented, or produce for a circumscribed or specialized niche in the market. Many produce intermediate products for large firms; the development of the subcontracting relationship was particularly marked in the economic history of Japan. As industrialization proceeds, small firms seem naturally to shift from activities that compete with large firms to complementary ones. Besides the small firms involved in sub-contracting, why do so many other SSIs continue to exist? A simple answer is that they have distinct advantages in organization and marketing flexibility. A more profound answer lies in the nature of the process by which firms grow. Even if, in the absence of direct or implicit government restriction, the ultimate size of the modern corporation may be unlimited, financial, organizational and marketing constraints affect its rate of growth.

In India, Micro, Small and Medium Enterprises (MSMEs) constitute an important and crucial segment of the industrial sector. MSMEs contribute a staggering 30% to the country's GDP, and around 45% of the manufacturing output, and approximately 48% of the country's exports. Additionally, more than 11 crore people are employed in the MSME sector. Because of the unique economic and organizational characteristics, MSMEs play an important economic, social and political role in employment creation, resource utilization and income generation.

As in most of the developing countries including India, only a fraction of the new job seekers can be employed in agriculture. The scarcity of capital severely limits the numbers of new non-farm jobs that can be created, because investment costs per job are high in modern industry. An effective development policy has to be framed to increase the use of labour relative to capital, to the extent that it is economically efficient. Efficient substitution of labour for capital is possible in a broad spectrum of manufacturing activities. The tendency in many developing counties, unfortunately, has often been to prefer capital-intensive methods for several reasons: the prestige and promotion of advanced country technologies, ignorance of alternatives, preference by the rich for imported or import- equivalent goods, difficulties of dealing with large numbers of inexperience workers and government policies that tend to favor the use of capital. These influences also affect non-manufacturing activities.

Micro and Small Enterprises (MSEs) are generally more labor-intensive than larger organizations. In India, the focus has been mainly on Micro and Small Enterprises (MSEs) and therefore policies and programmes focus more to promote 'industry' rather than the broader spectrum of "enterprises". The

MSME sector includes a very wide spectrum of enterprises in terms of their size, employment potential, technology use and products.

5.2 MICRO, SMALL AND MEDIUM ENTERPRISES (MSMES) – CONCEPT

There is no well accepted definition of small-scale industry as it varies from country to country and from one time to another in the same country depending upon the pattern and stage of development, price level and government policy. Earlier industries that manufactured goods and provided services on a small scale or micro-scale basis were granted Small Scale Industries (SSI) registration by the Ministry of Small-Scale Industries. However, after the government passed the MSMED (Micro, Small and Medium Enterprises) Development Act in 2006, the small and micro-scale industries came under the MSMED Act. On 9 May 2007, subsequent to the amendment of the Government of India (Allocation of Business) Rules, 1961, the Ministry of Small-Scale Industries and the Ministry of Agro and Rural Industries were merged to form the Ministry of Micro, Small and Medium Enterprises. Thus, the SSIs are included under the Ministry of MSME.

In accordance with the Micro, Small, and Medium Enterprises Development (MSMED) Act in 2006, the enterprises were classified into two divisions.

- Manufacturing enterprises – engaged in the manufacturing or production of goods in any industry
- Service enterprises – engaged in providing or rendering services

Table 5.1: Investment limits

For the Manufacturing Sector (investment in plant and machinery)	
Micro Enterprises	Does not exceed `25 lakhs
Small Enterprises	More than `25 lakhs but does not exceed `5 crores
Medium Enterprises	More than `5 crores but does not exceed `10 crores
For the Service Sector (investment in equipments)	
Micro Enterprises	Does not exceed `10 lakhs
Small Enterprises	More than `10 lakhs but does not exceed `2 crores
Medium Enterprises	More than `2 crores but does not exceed `5 crores

Source: Adopted from Recommendation of the Inter- Ministerial Committee for Accelerating Manufacturing in Micro, Small & Medium Enterprises, Ministry of Micro, Small & Medium Enterprises, 2013, p. 16.

After 14 years since the MSME Development Act came into existence in 2006, a revision in MSME definition was announced in the Atmnirbhar Bharat package on 13th May 2020. The distinction between manufacturing

and service MSMEs has been removed, earlier the limits of investment and turnover for these two were different.

Table 5.2: The upper limit as per the new definition

Type of Enterprise	Investment	Turnover
Micro Enterprises	< 1 crore	< 5 crores
Small Enterprises	< 10 crores	< 50 crores
Medium Enterprises	< 50 crores	< 250 crores

Source: Adopted from Economic Survey, 2021-22, p. 37.

Ancillary Industrial Undertakings

The following requirements are to be complied by an industrial undertaking for being regarded an ancillary industrial undertaking. This is a sub-class of micro, small and medium enterprises.

An industrial undertaking which is engaged or is proposed to be engaged in the manufacturing or production of parts, components, sub-assemblies, tooling or (i) intermediates or, (ii) the rendering of services, and the undertaking of supplies or renders or proposes to supply or render not less than 50 per cent of its production or services, as the case may be, to one or more other industrial undertakings and whose investment in fixed assets in plant and machinery whether held on ownership terms or on lease or on hire-purchase does not exceed `10 crores (Rupees ten crore)¹ as on 31-3-2007.

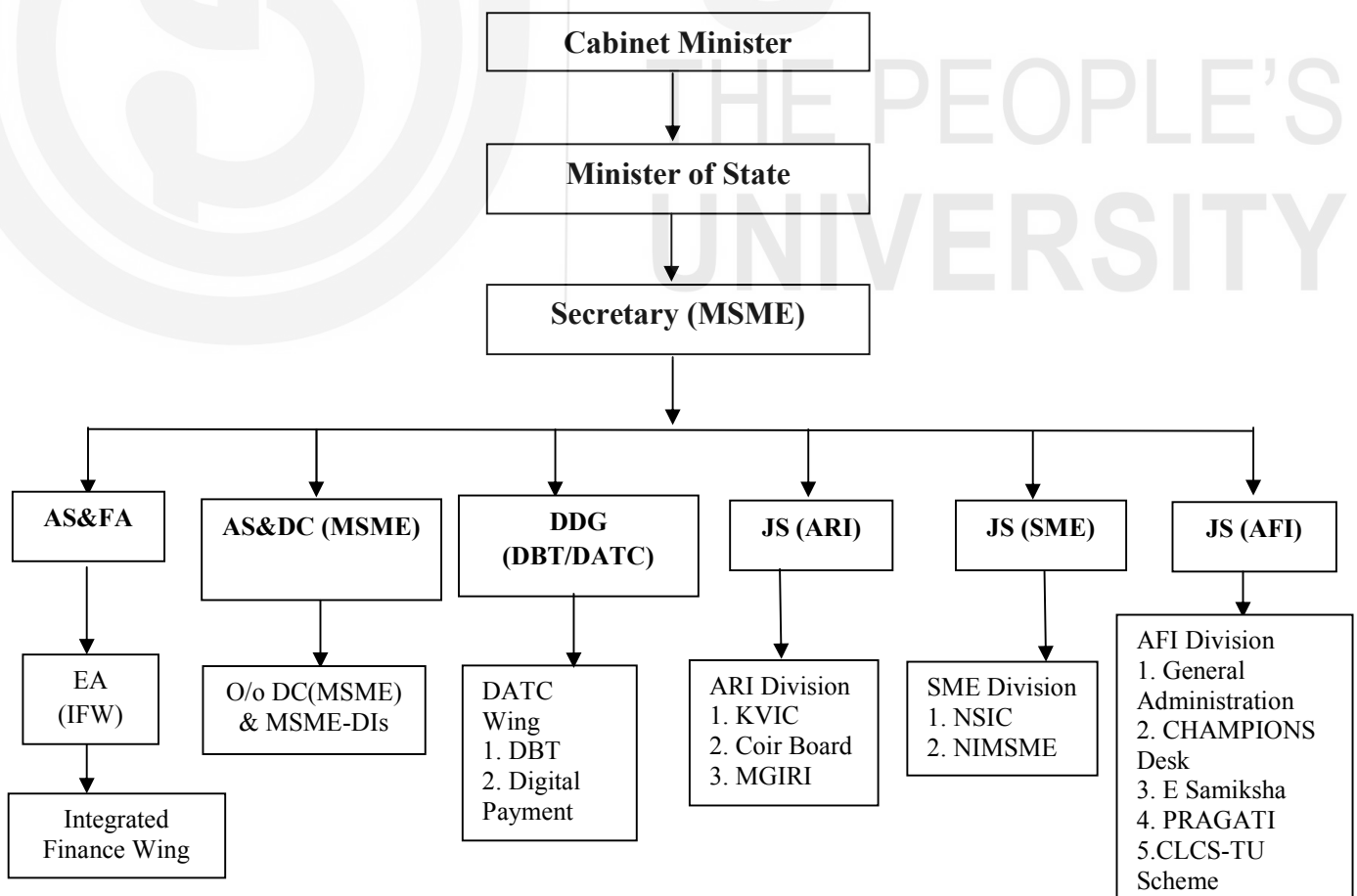


Figure 5.1: Organizational Structure of MSMEs

Source: Adopted from MSMEs (2022) “Annual Report” Ministry of Micro Small and Medium Enterprises, Government of India, New Delhi, p. 6.

***Full Forms:** AS- Additional Secretary, FA-Financial Advisor, DC- Development Commissioner, EA -Economic Advisor, IFW- Integrated Finance Wing, DI-Development Institutes, DBT- Direct Benefit Transfer, DATC- Data Analytics and Technical Co-ordination, JS- Joint Secretary, NSIC -National Small Industries Corporation Limited, NIMSME- National Institute for Micro, Small and Medium Enterprises, ARI- Agro - Rural Industries, KVIC -Khadi and Village Industries Commission, MGIRI - Mahatma Gandhi Institute for Rural Industrialization, SME- Small & Medium Enterprises, AFI - Administration & Financial Institutions, CLCS-TU - Credit Linked Capital Subsidy Scheme for Technology Upgradation.

Activity 1

Do you think 'Small Scale' can be defined by using other variables rather than merely the upper limit on the value of plant or machinery or turnover? Suggest some such variables.

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Characteristics and Relevance of MSMEs

Micro, Small and Medium Enterprises have many characteristics which make them pivotal in accelerating economic growth. Some of them are as follows:

- Their **flexibility** makes them best suited to environment which is constantly changing. They adapt quickly to various factors, that play a large part in everyday life.
- These enterprises use new materials, new methods of production, new markets, new sources of material and even new forms of organizations, **continuously innovating** in character.
- Since they are **fairly labor-intensive**, MSME's provide an economic solution by creating employment opportunities in urban and rural areas at a relatively low cost of capital investment.
- Decentralization and dispersal of industries allow for a balanced growth of the economy as a whole. MSMEs use indigenous raw material and promote intermediate and capital goods. So, they contribute to **faster economic growth** in a transitional economy.
- Finally, because they are mostly set up by individuals, they provide an outlet for **expression of the entrepreneurial spirit**.

The major benefits of MSMEs are as follows:

- 1) Utilization of locally available human and material resources and expertise/ experience.
- 2) Creating jobs at relatively low capital cost.

- 3) Diversifying the industrial structure.
- 4) Preventing the creation of monopolies.
- 5) Ensuring more equitable income distribution.
- 6) Attracting and utilizing indigenous entrepreneurship, nowadays especially encouraging women entrepreneurs.
- 7) Developing a pool of skilled, semi-skilled, workers as a basis for future industrial expansion.
- 8) Improving forward and backward linkages, contracting regional imbalances.
- 9) Optimum opportunities for adapting appropriate technological and managerial approaches.
- 10) Export oriented units tend towards a favorable balance of trade.

5.3 SPECIAL FEATURES OF MSMEs

Contribution to GDP: The Micro, Small & Medium Enterprises (MSMEs) have been contributing significantly to the expansion of entrepreneurial endeavors through business innovations. The MSMEs are widening their domain across sectors of the economy, producing diverse range of products and services to meet demands of domestic as well as global markets. As per the data available with Central Statistics Office (CSO), M/o Statistics & Programme Implementation, the contribution of MSME sector in Country's Gross Value Added (GVA) and Gross Domestic Product (GDP) at current prices from 2014-15 to 2018-19 is as below:

Table 5.3: Share of Gross Value Added (GVA) of MSME in all India GDP

Figures in Rs. Crores adjusted for FISIM at current prices						
Year	Total MSME GVA	Growth (%)	Total GVA	Share of MSME in GVA (%)	All India GDP	Share of MSME in All India GDP (in %)
2014-15	3658196	-	11504279	31.80	12467959	29.34
2015-16	4059660	10.97	12574499	32.28	13771874	29.48
2016-17	4502129	10.90	13965200	32.24	15391669	29.25
2017-18	5086493	12.98	15513122	32.79	17098304	29.75
2018-19	5741765	12.88	17139962	33.50	18971237	30.27

Source: Adopted from MSMEs (2021), "Annual Report" Ministry of Micro, Small and Medium Enterprises. p. 22.

1. Gross Value Added (GVA): It may be noted that estimates of GVA had been prepared at factor cost in the earlier series (base year 2004-05), while these are being prepared at basic prices in the new series (2011-12), GVA estimated by production approach: (GVA=Output- Material Inputs) and GVA estimated by income approach: (GVA= Compensation of Employees+ Operating Surplus + CFC)

2. **Gross Domestic Product (GDP):** GDP is derived by adding taxes on products, net of subsidies on products, to GVA at basic prices.
3. **FISIM** stands for Financial Intermediation Services Indirectly Measured. In the system of National Accounts, it is an estimate of the value of the services provided by financial intermediaries, such as banks, for which no explicit charges are made; instead, these services are paid for as part of the margin between rates applied to savers and borrowers. The supposition is that savers would receive a lower interest and borrowers pay a higher interest rate if all financial services had explicit charges.
4. **Gross Value Output (GVO):** Manufacturing Output is defined to include the ex-factory value (i.e. exclusive of taxes, duties etc., on sale inclusive of subsidies etc. if any) of products and by-products manufactured during the accounting year, and the net value of semi-finished goods, work-in-progress, and also the receipts for industrial and non-industrial services rendered to others, value of semi-finished goods of last year sold in the current year, sale value of goods sold in the same condition as purchased and value of electricity generated and sold.

Poverty Alleviation: To what extent, however, do smaller industrial units contribute more to employment of poor people in urban or rural non-farm settings? They create a greater number of job opportunities at the margin, it may be that the urban jobless will benefit. Moreover, according to a World Bank Study, small to medium enterprises sponsor projects with an appreciably higher proportion of unskilled workers than medium to large enterprises; 65% as compared with about 50%. Creation of unskilled jobs certainly has a direct impact on the alleviation of poverty which is greater for small and medium enterprises than for larger ones.

Table 5.4: Estimated Employment in the MSME Sector (Activity Wise)

Broad Activity Category	Employment (in lakh)			Share (%)
	Rural	Urban	Total	
Manufacturing	186.56	173.86	360.41	32
Electricity	0.06	0.02	0.07	0
Trade	160.64	226.54	387.18	35
Other Services	150.53	211.69	362.22	33
All	497.78	612.10	1109.89	100

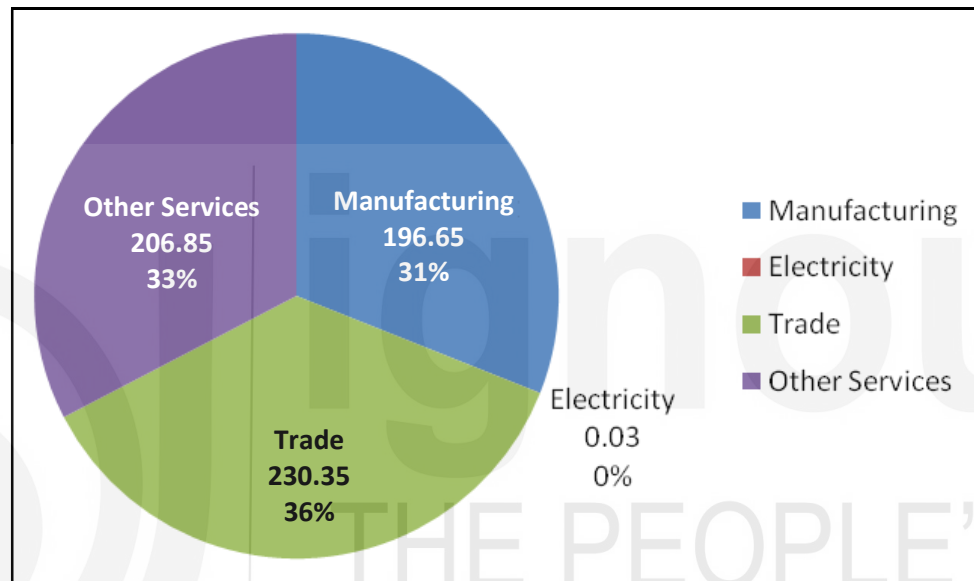
Source: Adopted from MSMEs (2021), "Annual Report" Ministry of Micro, Small and Medium Enterprises. p. 26.

Indigenization: Further evidence to employment effect is linked to the inputs used by small and large firms. The latter usually have a much higher propensity to import raw materials and capital goods. Small firms buy more domestic inputs produced by indigenous labour. The size of firm, and/or the capital intensity of its operations, often is dictated by its products and

technology available for their manufacture. Backyard blast furnaces may not have been efficient in overall use of resources. However, small foundries or metal-working plants may be both relatively labour intensive and competitive.

Use of labor-intensive techniques: In large enterprises common difficulties are labour union pressure or government regulations, which weigh much less heavily on Small Scale Industries (SSIs). It is partly to avoid such problems that the large firms move towards capital intensity and less “appropriate” technologies. So, where an option exists, SSIs may be more inclined and better abled than large firms to use resources efficiently.

Figure 5.2: Distributions of Estimated MSMEs (Nature of Activity Wise)



Source: Adopted from MSMEs (2021), “Annual Report” Ministry of Micro, Small and Medium Industry. p. 23.

Avenues for Indigenous Entrepreneurship

MSMEs also make better use of indigenous organizational and management capabilities by drawing on a pool of entrepreneurial talent that is limited in the early stages of economic development and by providing opportunities for these entrepreneurs to gain experience. The more successful ones will generally grow larger and doubtless more capital intensive, and in the process will fulfill an important incubating function.

Managerial and entrepreneurial abilities must however be distinguished. The latter is often neglected in development planning and policies, partly because it is hard to define. Yet its importance is evident in performance comparisons among countries and sectors where individual or collective initiative is encouraged, and where bureaucratic constraints discourage it.

MSMEs provide productive outlets for the talents and energies of enterprising, independent people, many of whom would not fulfill their potential in large organizations. Small firms often flourish by serving limited or specialized markets that are not attractive to large companies, they provide

a seed bed for entrepreneurial talent and a testing place for new industries. They supply dynamism and contribute to competition within the economy.

Tapping of Savings

The potential savings role of SSIs development has not been adequately tapped. Quantitative data is scanty, but empirical evidence from many countries over the decades show entrepreneurs are very highly motivated to save and invest: they reserve a greater proportion of their incomes for this purpose than the general population. This partly reflects their inability to obtain financing from institutional sources; but it also stems from their psychological commitment to the enterprise, which is both their essential security base and best hope for an easier, more secured existence. In rural areas, given conditions of confidence, funds may be mobilized from large farmers and channeled into rural industry.

The Ministry of MSMEs is operating a scheme of Micro Finance since 2003-04 along with the similar scheme of SIDBI. Under this Scheme, the Government of India provides 'Portfolio Risk Fund' (PRF) to SIDBI which is used for security deposit requirements of loan from the Micro financial Institutions (MFIs)/ Non- Governmental Organizations. At present, SIDBI takes fixed deposit equal to 10% of the loan amount. Under the PRF, the share of MFIs/NGOs is 2.5% of the loan amount (i.e., 25% of security deposit) and balance 7.5% (i.e., 75% of security deposit) is adjusted from the funds provided under the scheme by the government. These funds are mainly used for extending loans to the less developed states and underserved pockets/districts of other states.

Utilization of Domestic Technology

MSMEs are more likely to use relatively simple, general-purpose machinery that is often obsolete by developed country standards than the larger firms. Such machinery can often be manufactured locally; small machine shops, themselves quite labour intensive, exist in almost all countries, even the least developed, and are excellent training grounds for mechanical skills. Their machinists become intimately familiar with the customers' equipment, including MSMEs. Perhaps originally imported, often second-hand, this equipment is likely to need frequent repairs or replacement of parts which the original supplier probably no longer manufactures. The local industrialist may see ways to modify the original equipment to suit his needs better, and commission the neighborhood machine shop to work out an improvement. Gradually, machine building and adaptive capability evolves, stimulated and supported in the first instance by the small-scale user of simple less efficient or elegant machines. Large showpiece industries, seeking instant modernity, provide little sustenance for the early stages of local machinery working.

Government is aware of the difficulties in bringing innovation from laboratory to market by the innovator himself. To promote individual innovators to become technology-based entrepreneurs, the government has a scheme to "Support for Entrepreneurial Development of SMEs through Incubators" since April 2008. This is one of the components of National

Manufacturing Competitiveness Programme (NMCP) with the intention of providing support to improve the competitiveness and efficiency of MSME sector. Any individual or MSME with innovative ideas ready for commercialization can apply to the host institution (e.g., IITs, NITs, technical colleges, research institutes, etc.) in order to obtain fund support.

5.4 REGIONAL BALANCE AND RURAL DEVELOPMENT

In most developing countries, industries are highly concentrated at few places. As a result, regional imbalances are aggravated between (1) the urban core and the peripheral areas, with the latter remaining relatively underdeveloped; (2) urban and rural populations, with migration of the more vigorous elements depleting the rural society and increasing urban unemployment; and (3) major regions within the nation, leading to political tensions. Both large and small industries contribute to these imbalances, the latter when stimulated by or dependent on the former. But SSI generally has more locational flexibility; it requires less infrastructure and usually caters to a narrower geographic market. Its relatively labor-intensive technology is appropriate for the lower wage rates prevailing outside the metropolitan centres, while helping in some measure to raise these rates. Comparative studies suggest that the profitability of SSI is higher in medium-size towns, away from the metropolis, so the promotion of SSI development in outlying towns helps individual entrepreneurs as well as the society as a whole.

A major problem in the rural areas of developing countries is under-employment, especially in the slack agricultural seasons: rural incomes are depressed and migration to the cities increases. More non-farm jobs need to be created and, whether these are industrial jobs, they will generally be in the small-scale sector, because of infrastructure, market radius, and labour skill requirements. Agricultural processing industries create employment and increase returns to farmers. But their peak demand for labour is likely to coincide with the peak agricultural season rather than complementing it. Other types of small-scale production, such as black-smithing, brick-making kilns, tailoring, carpentry and furniture-making, are indispensable to rural development.

Environmental Impact

SSIs just as their larger counterparts, can pollute or otherwise affect the environment adversely. However, their smaller size and dispersion, lesser needs for massive infrastructures, and generally simpler processes are likely to result in less and more easily remedied environment consequences.

Status Classification

According to Fourth All India Census of Registered Small-Scale Industries the status classification of SSI units is given below.

Table 5.5: Summary Results: Fourth All India Census of MSMEs

Sl. No	Characteristics	Registered Sector	Unregistered Sector	Economic Census-2005	Total
I	II	III	IV	V	VI
1	Size of Sector (in Lakh)	15.64	198.74	147.38	361.76
2	No. of Rural Units (in Lakh)	7.07 (45.20%)	119.68 (60.22%)	73.43 (49.82%)	200.18 (55.34%)
3	No. of Women Enterprises (in Lakh)	2.15 (13.72%)	18.06 (9.09%)	6.40 (4.34%)	26.61 (7.36%)
4	Total Employment (in Lakh)	93.09	408.84	303.31	805.24
5	Per Unit Employment	5.95	2.06	2.06	2.23
6	Total original value of Plant & Machinery (Rs. in Lakh)	10502461	9463960	-	19966421
7	Per unit original value of Plant & Machinery (Rs. in Lakh)	6.72	0.48	-	-
8	Total Fixed Investment (Rs. in Lakh)	44913840	24081646	-	68995486
9	Per Unit Fixed Investment (Rs.in Lakh)	28.72	1.21	-	-
10	Total Gross Output	70751027	36970259	-	107721286

Source: Adopted from MSMEs (2015), “Annual Report” Ministry of Micro, Small and Medium Enterprises. p. 25

5.5 ROLE OF ENTREPRENEURSHIP IN MSMEs AND ECONOMIC DEVELOPMENT

Effectiveness of small enterprises depends upon the entrepreneurial and managerial capabilities of those involved in the business. Because of its size and unique operating characteristics, a small enterprise requires a management approach which is also unique. Small enterprises are generally managed in a personalized fashion. The owner is also the manager until the firm grows to a certain level. They participate in all aspects of managing the business and there is generally no sharing in the decision-making process. As far as scope and scale of operations is concerned, small enterprises usually serve a local or regional market rather than a national or international market. These special characteristics must, therefore, be taken into account in - planning for small enterprises development on a national scale.

The entrepreneurial spirit, as described by recent studies and experiences on the subject involved includes not only a desire to gain monetary benefits but also an admixture of a high need for achievement and all the motivations evident in a high achiever. Long-term involvement with a goal which the entrepreneur has set for himself creates the need to persist with the

undertaking even in the face of difficulties and hardships.

Since the entrepreneur is starting from scratch s/he must keep in mind all the factors involved and take calculated risks based on this knowledge. A tendency to analyze the environment on an ongoing basis holds the entrepreneur in good stead. S/He must also be positive and optimistic as there is no one to depend on but him/herself in times of doubt and uncertainty.

Management and entrepreneurial skills must, therefore, be blended in the small enterprise owner's total make-up as these will spell the difference between success and failure. The ideal situation would be to find a person who is both efficient and effective. Without the latter capability a person may simply be a good manager. S/He still has to be developed into an effective manager by inculcating in him/her the entrepreneurial spirit.

Wide Ranging Contributions

There is a wide range of significant contributions that entrepreneurs and entrepreneurship can make to the development process. These include the following:

- 1) Entrepreneurship raises productivity through technical and other forms of innovation.
- 2) Entrepreneurship is a powerful tool of job creation.
- 3) Entrepreneurship facilitates the transfer of technology.
- 4) Entrepreneurs play a strategic role in commercializing new inventions and products.
- 5) Entrepreneurs play a critical role in the restructuring and transformation of economy.
- 6) Entrepreneurs help reduce the rigidity of established social institutions and the concentration of economic power.
- 7) Entrepreneurships and entrepreneurial behaviour can breathe vitality into the life of large corporations and governmental enterprises.
- 8) Entrepreneurs make markets more competitive and thereby reduce both static and dynamic market inefficiency.
- 9) Micro-entrepreneurs operating in the informal sector circumvent established government authority when governments and their programmes inhibit economic development.
- 10) Entrepreneurs stimulate a redistribution of wealth, income and political power within societies in ways that are economically positive without being politically disruptive.
- 11) Entrepreneurs improve the social welfare of a country by harnessing dormant, previously overlooked talent.
- 12) Entrepreneurs create new markets and facilitate expansion into international markets.

Cost-Effective Strategy

The unique feature of entrepreneurship is that it is a low-cost strategy of economic development, job creation and technical innovations. Other agents of change may accomplish the same ends, but not as cost effectively as entrepreneurs. And this is accomplished by setting up enterprises, initially on a small scale as entrepreneurs are individuals who bear the costs and risks of launching a new venture, developing a new product, commercializing an invention, adapting a technology and developing a new market. Even when they receive governmental assistance through subsidized training or low-interest loans, they add considerably more value through “sweat equity”.

As risk bearers, entrepreneurs either succeed and make a developmental contribution or they fail and disappear from the market place. The market within which the entrepreneurs operate has little tolerance for miscalculations about a business opportunity, for a lack of commitment or laziness, or for incompetence. Entrepreneurs find resources and fill market gaps that would be missed by larger, more bureaucratic organizations. Entrepreneurs allow a country to extract every last bit of marginal capacity out of whatever resources exist within the society.

According to the Entrepreneurial Development Institute of India, the two main ingredients in case of a real business opportunity are:

- 1) Good business scope i.e., a gap between present supply and current or expected demand.
- 2) An attractive rate of return on investment.

Apart from these 2 criteria, business opportunity has to be analysed from a few more new points such as Technical/production viability, Commercial/Managerial viability, Availability of raw materials, Man power needs, Power requirements, Effluents/ Pollution problem and Locational Considerations/constraints.

Entrepreneurs and their families oppress themselves in a way that people are reluctant to accept in large scale organizations. This benefits society in two ways first by extracting extra effort from people and second by avoiding disruption and instability of labour conflict. Finally, local entrepreneurs offer a cost-effective strategy of development because they are an integral part of their community. Unlike foreign firms or plant relocations from another region or province, small scale entrepreneurial firms are home grown, and available evidence shows that they remain in their community. Tax holidays and subsidies to attract plant relocations whether on a domestic or international basis are far more expensive than cultivating local entrepreneurs, and it is doubtful whether the results are real or lasting.

Activity 2

Contact two or three small enterprises which are family enterprises. Discuss the adjustments that member have personally made in order to make the enterprise more cost effective. Given a formal organizational set up, do you think people will be willing to make similar adjustments?

5.6 A CONCEPTUAL MODEL

If we recognize that economic development is an uneven process that has distinct phases over time, four phases of development can be identified:

- 1) Agrarian or resource society
- 2) Early industrialization
- 3) Mature industrialization
- 4) Service and high-technology economy.

In terms of the relationship between entrepreneurship and economic development, there are two basic trends: first, the sphere of entrepreneurial activity expands with economic development; and second, innovation and early imitation become increasingly important as an economy develops and moves towards the frontiers of science and technology.

There is probably a sequence of strategies that developing countries might follow (see Table 5.6). When agriculture or resource extraction dominates, small business formation is probably the most appropriate strategy to be pursued. Small business formation at this phase of development means putting existing resources together in either new or old ways. As a country begins to develop, imitation of innovations established in more developed country becomes critical to the development process. Entrepreneurs during this period need to make more selective use of existing resources through (a) innovations in organization and/or (b) combining factors of production in new ways (for example, the introduction of the power-loom to replace the hand-loom). As a country becomes more industrial, it becomes more important for entrepreneurs to identify and satisfy new wants. Early-stage imitation becomes increasingly important if local entrepreneurs are to compete successfully for even domestic markets.

It is concluded, therefore, that entrepreneurial process begins in less developed countries with the formation of small businesses striving for effective management, but necessarily shifts to innovative and high technology entrepreneurship at some point along the development path.

Table 5.6: Entrepreneurial Strategy at Different Phases of Development

Phases of development	Entrepreneurial Strategy
Agrarian Society	Small business formation
Early industrialization	Small business formation and late imitation
Mature industrialization	Increasing emphasis on early imitation
Service/high technology	Early imitation and innovation

5.7 PROBLEMS AND SUPPORT NEEDS OF MSMES

Successful small enterprises do not emerge, and thereafter survive & grow unless the environment is conducive. Political, economic, technological and socio-cultural factors in the environment impinge upon the life of the small enterprises and generate much of the needs required for their existence.

Conducive Environment

The overall political climate in a country is important for the small-scale entrepreneur to consider. An entrepreneur will need positive and encouraging measures by government and political constituencies to establish private investment. Such measures could include liberal or non-restrictive investment policy, creation of promotional agencies, creation of industrial estates and free trade zones and availability of low-cost loan capital for private investors. Policy commitment to MSME sector can go up to protection against imports, reservation of products as was done in India.

The political climate influences the economic direction taken by the country in question. An analysis of the economic environment is particularly helpful in investment decision, market measurement and in forecasting. The general state of the economy dictates what the small enterprise will need especially since it is handicapped in obtaining capital and credit owing to greater unit costs of small transactions, greater risks involved, etc. The small entrepreneur also generally lacks managerial and technical know-how, or is weak in marketing, production or personnel management skills. These are needed, so the entrepreneurs can be economically viable even if s/he operates on a small-scale basis.

A very welcome development in the service sector of small enterprise scenario has occurred on account of developments in the ICT sector. A large number of recently established MSME units fall under the category of it and IT training companies, media related enterprises and software development firms, as well as enterprises set up to take advantage of the business process outsourcing practices of multinational organizations.

Finally, the socio-cultural environment also creates a very important climate for the survival of the enterprises. They need several conditions to keep being alive:

- 1) tolerance for change in the society and culture;
- 2) social mobility;
- 3) tolerance of profit-making; and
- 4) tolerance of private ownership.

In the emerging scenario you could realize that the rate of economic development often revolves around the entrepreneur. Therefore, the factors responsible for their emergence and growth must be analysed and supported. India has been the pioneer in initiating Entrepreneurship Development Programmes, to identify, select, motivate, train and guide first generation entrepreneurs from all walks of life. Programmes for entrepreneurship development are now being introduced in schools and colleges to provide the impetus for youth seeking self-employment opportunities.

Adequate Credit Assistance

Small enterprise development cannot be ensured without arrangement for financing. Adequate and timely supply of credit is critical for new entrepreneurs to emerge especially from a wide base. A great majority of small and medium business activities have come about because of special financing programmes offered to them.

Various financing programmes have been evolved in developing countries to meet specific needs of existing and prospective entrepreneurs. These usually take into consideration the difficulties and special needs that the prospective small enterprise borrower encounters. Thus, requirements are less strict in terms of (1) lower interest rates than the prevailing commercial rates, (2) fewer collateral requirements and lower equity ratio, (3) various assistance schemes such as preparing the project study etc. Special loan guarantee schemes have proved to be useful whereby the government guarantee the loan of a small entrepreneur by banks. Sometimes, the financing needs cannot be met simply through the provision of loans. Hence, other schemes for equity assistance have been evolved.

Markets and Marketing Support

Market for a small enterprise in a developing country can be quite a problem considering that the small entrepreneur will be in competition not only with locally mass-produced goods but even- imports. Small enterprises must therefore prove that in quality and price of their product they are comparable, if not better, than that of larger, better-known brands. Small enterprises can brand together and sell their products as one body through closely-knit associations or organizations. The government too can take an active part in marketing specific products or assisting small groups of entrepreneurs selling their products.

However, recent experience reveals that government can directly purchase products of MSMEs on a preferential basis, even giving better prices as being done in India. Other indirect marketing assistance programmes include provision of space for retailing of the small entrepreneurs' products, bulk buying for future selling, improvement of roads, communications and other infrastructure facilities to improve and hasten sales.

Both large and small enterprise stand to gain if complementary between them is fostered especially in the marketing aspects of their businesses. A large number of small enterprises manufacture goods for direct sale to a large industry. The government can promote such complementarity as a strategy for small enterprise development.

Acquisition, Transfer and Adaptation of Technologies

Frequent problems are faced in acquiring “appropriate” technology that which is best suited to the specific cultural, economic, social and political climate found in a particular country where the small enterprises are situated. E. F. Schumacher coined the term “intermediate technology” to signify technology of production by the masses, making use of the best of modern knowledge and experience, conducive to decentralization, compatible with the laws of ecology, gentle in its use of scarce resources, and designed to serve the human person instead of making him the servant of machines.

New industrial technologies which would be both modern and appropriate can be developed by (1) starting with traditional and using modern knowledge to improve on them; (2) starting with the modern methods of the highly developed countries and adapting them to the conditions of the newly developing countries; and (3) analyzing the technological problems of the newly developing countries directly and coming up with novel approaches through fresh research and development. (4) Mobilizing the indigenously developed technologies or drawing upon the local R & D efforts in the country. Nations in the developing world are now looking for new forms of industrial equipment and manufacturing processes. The new class of technologies which are emerging from this search have certain characteristics in common: they are small scale, low cost, easily maintained, worker-controlled, and meet the basic needs of the people.

Easy efforts along the lines of acquisition, transfer and adaptation of appropriate technology for small enterprises have provided a strong foundation for bringing about self-reliance in capital goods in India. Technical information and industrial extension centres play an important role in the “delivery” of technology to small enterprises.

5.8 ROLE OF GOVERNMENT IN MSME_s DEVELOPMENT

Direct assistance through which government can lend to small enterprises can include advisory services (extension and counselling), industrial research, developmental financial scheme, marketing aids and provision of basic utilities & services for small scale entrepreneurs. The government plays its most vital role for MSME development by way of policy formulation and implementation. Government of India and the Ministry of MSME have launched several unique government schemes and programs designed to empower MSMEs. Some of them have been discussed below:

Atmanirbhar Bharat

India has been on its quest to become more self-reliant ever since the pre-independence era, with activities such as the Swadeshi movement. Different

versions of Atmanirbhar Bharat were already part and parcel of the Indian planning process since 1976. However, the COVID-19 issue and its subsequent lockdown were severe to the Indian economy and businesses. The Prime Minister of India launched the Atmanirbhar Bharat scheme following this crisis, trying to make India more self-reliant to recover from it, he has always emphasized developing a "Self-Reliant India". Thus, Atmanirbhar Bharat scheme was launched in this context and came as an economic package of Rs. 20 lakh crores to support India and its economy during this crisis.

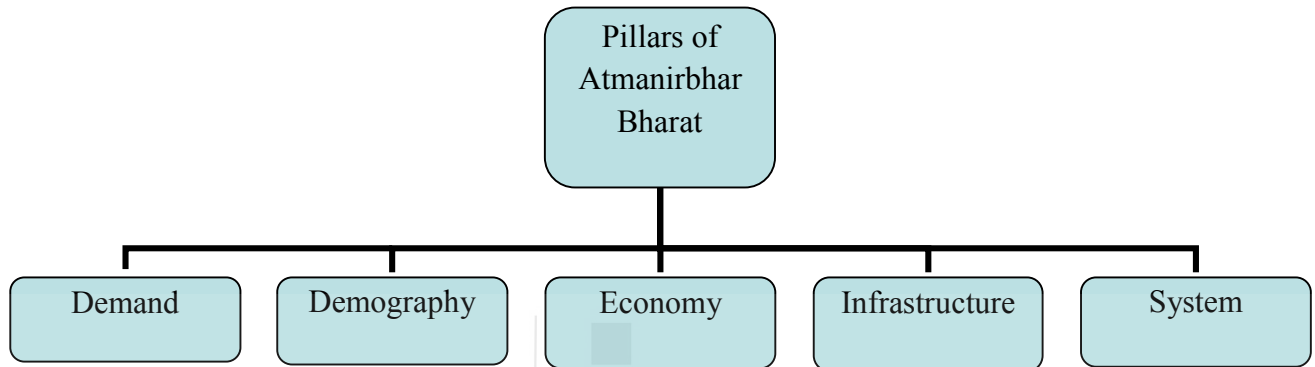


Figure 5.3: Main constituents of Atmanirbhar Bharat

Source: Author's own output

The Government of India via this package has tried to extend a helping hand to almost every sector of the economy i.e., Micro, Small and Medium Enterprises (MSMEs), farmers, rural labourers, migrants or the empowerment of the poor. A lot of initiatives were taken to promote the Micro, Small and Medium Enterprises (MSMEs) in the country. The details of some of the major schemes which are still prevailing are as follows:

- **Emergency Credit Line Guarantee Scheme (ECLGS):** The Emergency Credit Line Guarantee Scheme (ECLGS) was announced as part of the Atmanirbhar Bharat Package in May, 2020 to support eligible MSMEs and other business enterprises to meet their operational liabilities and resume businesses in view of the distress caused by the COVID-19 crisis. This scheme covers all the sectors of the economy. Under this, 100% guarantee is provided to Member Lending Institutions (MLIs) in respect of the credit facility extended by them to eligible borrowers.
- **Self-Reliant India (SRI) Fund:** The Government of India has announced Fund of Funds with the nomenclature Self Reliant India (SRI) Fund to infuse equity funding in MSMEs which have the potential and viability to grow. Under this scheme Government has a provision of corpus of Rs.10,000 crore from Government of India.
- **Credit Guarantee Trust Fund for Micro & Small Enterprises (CGTSMSE)**

CGTSMSE with the support of 4000 Cr from Govt, will give partial credit guarantee to bank to allow them to give debt to promoters of MSME,

who then will infuse the fund as equity. It is one of the biggest Startup Loan Schemes launched by the Ministry of MSME in India. Under this Government scheme, a collateral-free loan of up to Rs 1 crore is provided to eligible startups and MSMEs. The loan is dispersed via a trust named Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE), which is powered by the Ministry of MSME and Small Industries Development Bank of India (SIDBI).

Pradhan Mantri Mudra Yojana

Pradhan Mantri Mudra Yojana was launched, wherein Micro Units Development and Refinance Agency Bank or MUDRA Banks provide loans at low rates to micro-finance institutions and non-banking financial institutions, who in turn provide low-interest loans to startups and MSMEs. Loans up to Rs 10 lakh can be availed under the MUDRA scheme.

It was launched in 2015 and within 2 years, more than 1.8 crore jobs were generated due to the loans and business generated via MUDRA.

National Manufacturing Competitiveness Programme (NMCP)

It was initiated in 2007-08 to support MSMEs. There were ten schemes as listed below which were drawn up under NMCP. Ten schemes listed below are the main components of the programme:

- i) Marketing Support/ Assistance to MSMEs.
- ii) Support for Entrepreneurial and Managerial Development of MSMEs.
- iii) Enabling manufacturing sector to be competitive through quality management standard and quality technology tools.
- iv) National Campaign for Investment in Intellectual Property.
- v) National Programme on Application of Lean Manufacturing.
- vi) Mini Tool Rooms proposed to be set up by Ministry of MSME.
- vii) Promotion of ICT in Indian Manufacturing Sector.
- viii) Technology and Quality Up gradation support for MSMEs.
- ix) Design Clinic Scheme to bring design expertise to the Manufacturing sector.
- x) Marketing Assistance for MSMEs.

Main objective of the schemes is to ensure steady growth of the MSME sector. These schemes are implemented through Public Private Partnership (PPP) Mode. Programme deals with firm-level competitiveness, addressing issues of Competitiveness against Global Challenges.

Credit Linked Capital Subsidy for Technology Upgradation (CLCSS)

Government is clearly aware that technology is the tool that can propel Indian startups and MSMEs to compete with global competitors. This is the reason for the creation of the Credit Linked Capital Subsidy for Technology Upgradation (CLCSS) Government scheme, wherein government provides financial help to MSMEs to upgrade their technology and implement state of

an art technological platforms for their business. Under CLCSS, government provides a 15% subsidy for investment up to Rs 1 crore for upgrading technology for startups and MSMEs in India. More than 7500 products/services are covered under this scheme.

5.9 SUMMARY

There are several factors that govern the pattern and rate of economic development in a country. One of the important inputs is provided by the quantum and quality of entrepreneurship. Most of these entrepreneurs who owned and managed their enterprise in the early stages of development did so through ploughing back of profits. In the later stages of industrial development, technological changes favored the growth of corporate enterprises.

In India, only a fraction of the total employment potential can be fulfilled in agriculture and as cost per job are very high for modern industry, development of small-scale enterprise represents a cost-effective developmental policy. Being more labour intensive and less capital intensive than large enterprises small scale enterprise in the Indian context seems to be an effective way to capitalize a country specific resource. The unit describes the relevance and need for micro, small and medium enterprises and discusses their role in the economic development of the country.

5.10 KEYWORDS

Labour Intensive: A process or industry that requires a large amount of labour to produce its goods or services.

Indigenous: Originating in and characteristic of a particular region or country.

Restructuring: A significant modification made to the debt, operations or structure of a company.

Acquisition: The act of acquiring or gaining possession by buying company's ownership stake.

Adaptation: Modification of a product on concept to make it applicable in situations different from originally anticipated.

5.11 SELF -ASSESSMENT QUESTIONS

- 1) List the characteristics of micro, small and medium enterprises which enable them to contribute to the economic development process in a developing country like India? Discuss.
- 2) Taking specific case examples, discuss the employment generation potential of micro, small and medium enterprises vis-à-vis the large enterprises.
- 3) In the Indian context, explain the specific role that entrepreneurship has fulfilled in the development of the small-scale sector.

- 4) With reference to the support needs of MSMEs outlined in the unit, do you think the Indian infrastructure and environment are conducive to the development of small-scale enterprises? Discuss, giving reasons for your answer.

5.12 REFERENCES/FURTHER READINGS

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